🌍 LIBERALISATION, PRIVATISATION AND GLOBALISATION (LPG)

Economic Reforms of 1991 | Basic Learning

BY THUNDERSTUDY 🧠✨

Imagine India is a big shop 🏪. Before 1991, the shop had too many rules and little money. Then a **money crisis** happened, and India had to change the rules to survive. These are the **LPG Reforms**.

🚨 1. Why Did India Change in 1991?

India had a serious money problem:

💥 Government spending > income 💸

💥 Foreign money reserves were only enough for **2 weeks** 😱

💥 World Bank & IMF gave loans but said: "Open your economy."

🧠 2. What is LPG?

Term	Simple Meaning
Liberalisation	Remove unnecessary rules/freedom to business
Privatisation	Selling Govt companies to private owners
Globalisation	Connecting India with the world economy

🟢 3. LIBERALISATION (Freedom)

Ended the **"License Raj"**. Now, market demand (not Govt) decides prices and production.

💥 Industrial licenses removed for most items.

💥 Foreign investment allowed.

🔵 4. PRIVATISATION (Private Entry)

Govt sells ownership (**Disinvestment**) to increase efficiency. Special status like **Maharatnas/Navratnas** given to top PSUs for freedom.

🌎 5. GLOBALISATION (World Connection)

Outsourcing: Foreign companies give work to India due to skilled workers and low wages (BPOs/Call Centers).

WTO (1995): India joined to promote fair global trade.

📈 6. Impact of LPG

👍 **Positives:** GDP growth, IT boom, more consumer choice.

👎 **Negatives:** Agriculture slowed, job creation lagging, rising inequality.

📊 Sector-wise Impact

Sector	What Happened
Agriculture	Faced competition, low investment
Industry	Mixed growth
Services	Grew very fast! 🚀

🧠 SUPER-SHORT REVISION

1991 Crisis → LPG Reforms

L = Fewer restrictions | P = Private ownership | G = World integration

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